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Case Number: 26SMCV01433 Hearing Date: August 5, 2026 Dept: P

Tentative

Ruling

Sharon

Crystal, Inc., et al. v. Sharon Crystal, Case No. 26SMCV01433

Motions:

(1)

Plaintiff's

Demurrer to Defendants' Cross-Complaint

(2)

Defendants'

Demurrer to Plaintiff's Complaint

Hearing

Date: August 5, 2026

On March

17, 2026, Plaintiffs Sharon Crystal, Inc. and Shannon Bankosh ("Bankosh") sued Defendants Sharon Crystal ("Sharon"), Holly Crystal ("Holly"), Darla Smith ("Smith"), and Chad Miller ("Miller") for twenty claims including conversion, theft, intentional interference with contractual relations, breach of fiduciary duty, defamation, fraud, and breach of lease. Plaintiffs allege that Sharon is Bankosh and Holly's mother. (Complaint, ¶ 12.) Plaintiffs allege that Sharon and her husband Terry Crystal ("Terry") started Sharon Crystal, Inc. ("the Company") to sell clothing and other goods at Renaissance Faires throughout the

country in the 1970s. (Id. at ¶ 9.) Plaintiffs allege that Sharon and Terry gave control of the company to Bankosh when they decided to retire in 2022, though Sharon remained an active employee. (Id. at ¶ 19.) Plaintiffs allege that Holly was not involved in Crystal until January 2026, when she, Sharon, Smith, and Miller took over the Company and locked Bankosh out of the Company's Culver City offices. (Complaint, ¶ 34.)

On April

24, 2026, Sharon and Holly filed a cross-complaint against Bankosh alleging financial elder abuse, fraud, breach of fiduciary duty, cancellation of instruments, and conversion.

On April

27, 2026, Sharon and Holly filed an ex parte application for a temporary restraining order removing Bankosh as Crystal's Director and enjoining her from interfering with the Company's operations at the Colorado Renaissance Festival. On April 27, 2026, the Court denied Sharon and Holly's ex parte application.

On April

27, 2026, Defendants filed a demurrer with a motion to strike portions of Plaintiffs' complaint. On July 23, 2026, Plaintiffs filed opposition. On July 31, 2026, Defendants filed a reply.

On April

30, 2026, Sharon and Holly filed a motion for trial preference. On June 3, 2026, the Court denied Sharon and Holly's motion for trial preference. Sharon and Holly appealed. On June 16, 2026, the Court received the Court of Appeals' tentative order directing the court to either vacate the order denying preference and enter a new order granting preference or show cause why a peremptory writ should not issue.

On June

26, 2026, Plaintiffs filed a demurrer to Defendants' cross-complaint. On July 23, 2026, Defendants filed opposition. On July 29, 2026, Plaintiffs filed a reply.

On July 1,

2026, the Court vacated the June 3 ruling and granted Sharon and Holly's Motion for Trial Preference. It also advanced the hearings on these demurrers to August 5, 2026, ahead of the September 28, 2026 trial date.

On July
23, 2026, Plaintiffs filed a motion to bifurcate to try the question of the
Company's ownership first.

Sharon
and Holly's Demurrer to Plaintiffs' Complaint

Sharon and
Holly demur to Plaintiffs' claims for (1) conversion, (2) misappropriation and
theft under Penal Code § 496, (3) Intentional Interference with Contractual
Relations, (4) intentional interference with prospective economic relations;
(5) breach of fiduciary duty; (6) aiding and abetting breach of fiduciary duty;
(7) breach of the duty of loyalty; (8) defamation per se; (9) trespass to
chattel; (10) claim and delivery; (11) fraudulent concealment; (12) negligent
misrepresentation; (13) breach of lease contract; (14) breach of the covenant
of good faith and fair dealing; (15) civil conspiracy; (16) unjust enrichment;
(17) accounting; (18) constructive trust; (19) declaratory relief; and (20)
injunctive relief.

Governing
Law

In a demurrer proceeding, the defects in the
complaint must be apparent on the face of the pleading or via proper judicial
notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968,
994.) "A demurrer tests the pleading alone, and not the evidence or facts
alleged." (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153
Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the
complaint's properly pleaded or implied factual allegations. (*Ibid.*) The
only issue a demurrer is concerned with is whether the complaint, as it stands,
states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th
740, 747.)

Where a demurrer is sustained, leave to amend
must be allowed where there is a reasonable possibility of successful
amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is
on the plaintiff to show the court that a pleading can be amended successfully.
(*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However,
"[i]f there is any reasonable possibility that the plaintiff can state a good

cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

Before filing a demurrer, parties must meet and confer in person or by phone. (Code Civ. Proc. § 430.41.)

Discussion

a.

Procedural

Issues

The

parties met and conferred on this demurrer on May 21, 2026, by phone. (Montgomery Decl., ¶ 4.) The meet and confer requirement is satisfied.

b.

Conversion

Sharon and

Holly argue that the complaint fails to state a claim for conversion against Defendant Miller because the complaint does not allege that Miller actually took property from Plaintiffs. (Demurrer, p. 3.) In opposition, Plaintiffs argue that the complaint alleges that Miller took property, pointing specifically to paragraphs 44 and 45. (Opposition, p. 9.)

A

complaint states a claim for conversion where it alleges facts showing that defendant disposed of plaintiff’s property inconsistent with plaintiff’s rights and caused damages. (PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 395, 397.)

“It is not

necessary that there be a manual taking of the property; it is only necessary to show an assumption of control or ownership over the property, or that the alleged converter has applied the property to his own use.” ...’ ” (Shopoff & Cavallo LLP v. Hyon (2008) 167 Cal.App.4th 1489, 1507.)

The

complaint alleges that Miller was taking company property away from the area

where Madison Bankosh was collecting it on behalf of the Company. (Complaint, ¶ 45.) This allegation is sufficient to claim that Miller disposed of the Company's property inconsistently with the Company's wishes.

Defendants

demurrer to Plaintiffs' claim for conversion is OVERRULED.

c.

Misappropriation
& Theft

Defendants

argue that the complaint does not allege that Miller took possession of the allegedly stolen property and fails to allege that Miller took part in the theft or knew about it. (Demurrer, p. 3.) In opposition, Plaintiffs point to paragraphs 44-46 and 64 of the complaint and argue that it sufficiently alleges that Miller stole property and knew it was stolen. (Opposition, p. 10.) In reply, Defendants argue that Plaintiffs' allegations against Miller are conclusory. (Reply, p. 4.)

Civil

theft occurs where (1) property was stolen or obtained in a manner constituting theft; (2) defendant knew the property was so stolen or obtained; (3) defendant received or had possession of the stolen property. (Bell v. Feibush (2013) 212 Cal.App.4th 1041, 1049 [upholding civil liability under Penal Code section 496].) Civil liability for theft under Penal Code § 496 requires specific intent to steal. (Garraabrants v. Erhart (2023) 98 Cal.App.5th 486, 506 [finding that a jury instruction excluding specific intent was prejudicial error in a civil theft case].).

The

complaint does not allege that Miller specifically intended to steal the Company's property or receive stolen property.

Because

the deficiency arises from a lack of detail, it is reasonably likely that Plaintiffs will be able to amend the complaint to state a claim against Miller.

The

demurrer to the civil theft cause of action is SUSTAINED with leave to amend as

to Miller.

d.

Intentional

Interference with Contractual Relations

Defendants

argue that the complaint does not state a claim for intentional interference with contractual relations against Miller because it does not claim that he took any act to disrupt a contract he was a party to. (Demurrer, p. 4.) Plaintiffs argue that Miller sent the board resolution he signed to the Company's festivals and vendors to induce them to treat Bankosh as removed. (Id. at p. 10.) In reply, Defendants argue that Plaintiffs do not identify the particular contract or economic relationship that Miller allegedly interfered with and do not allege that Miller knew about those relationships. (Reply, p. 4.)

To state a

claim for intentional interference with contractual relations, the complaint must allege facts showing (1) Plaintiff had a valid contract with a third party; (2) defendant had knowledge of the contract; (3) defendant committed intentional and unjustified acts designed to interfere with or disrupt the contract; (4) actual interference with or disruption of the relationship; and (5) resulting damages. (Davis v. Nadrach (2009) 174 Cal.App.4th 1, 10; Shamblin v. Berge (1985) 166 Cal.App.3d 118, 123. See also Sole Energy Co. v. Petrominerals Corp. (2005) 128 Cal.App.4th 212, 238 ["Proof the interfering conduct was wrongful, independent from the interference itself, is not required to recover for interference with contractual relations."].)

The

complaint states a claim for intentional interference with contractual relations because it alleges that Miller interfered with the Company's contracts with multiple specific festivals and fairs by forwarding them a fraudulent board resolution purporting to remove Bankosh as head of the Company. (See Complaint, ¶ 44.)

Defendants'

demurrer to Plaintiffs' claim for intentional interference with contractual relations is OVERRULED.

e.

Intentional

Interference with Prospective Economic Relations

The

parties make the same argument on Plaintiffs' claim for intentional interference with prospective economic relations.

To state a

claim for intentional interference with prospective economic relations, the complaint must state facts showing (1) an economic relationship between plaintiff and third party; (2) probability of future economic benefit to the plaintiff; (3) defendants' knowledge of the relationship; (4) defendants' intentional acts designed to disrupt the relationship; (5) defendant engaged in an independently wrongful act in disrupting the relationship beyond just inducing disruption of economic advantage; (6) actual disruption; and (7) economic harm caused by the acts. (*Salma v. Capon* (2008) 161 Cal.App.4th 1275, 1290;

Blank v. Kirwan (1985)

39 Cal.3d 311, 330 ["The tort has traditionally protected the expectancies involved in ordinary commercial dealings...."].)

For the

reasons described in section (d), the complaint states a claim for intentional interference with prospective economic relations.

Defendants'

demurrer to Plaintiffs' claim for intentional interference with prospective economic relations is OVERRULED.

f.

Breach

of Fiduciary Duty and Breach of Duty of Loyalty

Defendants

argue that Sharon and Darla Smith did not owe Plaintiffs a fiduciary duty after they resign or are terminated from the company, so Plaintiff cannot state a claim for breach of fiduciary duty against them. (Demurrer, p. 5.) In opposition, Plaintiffs argue that Sharon remained an employee during the time

the alleged incident occurred, though she was no longer a director, and that she owed the company duties as an employee. Plaintiffs argue that though Darla Smith was an independent contractor, she owed Plaintiffs fiduciary duties because she was in a position of authority at the company when the events occurred. (Opposition, p. 5-7.) In reply, Defendants argue that these labels are conclusory and identify no facts establishing the scope of Sharon or Smith's authority. (Reply, p. 3.)

A breach

of fiduciary duty occurs when there is (1) a fiduciary duty, (2) breach of the duty, and (3) damage caused by the breach. (Charnay v. Cobert, (2006) 145 Cal.App.4th 170, 182; Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086.)

"In

determining the existence of an employee's fiduciary duty arising by operation of law, what matters is not one's title, but rather the levels of trust, confidence, and discretion reposed by the employer." (Guild Mortgage Co., LLC v. CrossCountry Mortgage LLC (2026) 120 Cal.App.5th 885, 895 [finding that an employee with managerial authority entrusted with confidential information owed the corporation a fiduciary duty].)

Plaintiffs

allege that Sharon remained the face of the company and a trusted agent of the company, was paid as an employee, and "often exercised a dominant role." (Complaint, ¶¶ 21-22.) Plaintiffs allege that Smith was hired as an independent contractor to prepare for a Shop Manager's retirement and had access to confidential financial and operational information. (Id. at ¶ 25, 92.) The complaint alleges a sufficient level of trust and confidence imposed in both Sharon and Smith to allege that they owed the company fiduciary duties. Both Sharon and Smith are clearly alleged to have had substantial authority and access to confidential and operational information while they were employed at the company at the time the alleged events occurred.

The

complaint states a claim for breach of fiduciary duty against Sharon and Darla Smith.

Defendants'

demurrers to Plaintiffs' claims for breach of fiduciary duty and breach of the

duty of loyalty are OVERRULED.

g.

Aiding

and Abetting Breach of Fiduciary Duty

Defendants

argue that the complaint does not sufficiently allege that the other defendants aided and abetted Sharon in breaching her fiduciary duties. (Demurrer, pp. 5-6.) Plaintiffs argue that the aiding and abetting claim is sufficiently plead. (Opposition, p. 7.)

A

complaint states a claim for aiding and abetting where it states facts showing that (1) defendant aids and abets commission of an intentional tort; (3) knowing the other's conduct constitutes breach of duty; or (1) giving substantial assistance or encouragement to the other to so act or in accomplishing a tortious result; and the person's own conduct, separately considered, constitutes breach of duty to the third person. (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 744; Schulz v. Neovi Data Corp. (2007)152 Cal.App.4th 86, 95 [to plead aiding and abetting, ultimate facts are required, not detailed facts].)

The

complaint alleges that Darla Smith aided and abetted Sharon's breach. (Complaint, ¶¶ 33-34.) The allegations against Miller do not show that he knew that Sharon's conduct was a breach of her duties or that he breached any duties he owed the corporation.

It is

reasonably likely that Plaintiffs will be able to allege sufficient detail to state a claim against Miller if given leave to amend, so leave to amend is required.

Defendants'

demurrer is OVERRULED as to Darla Smith, and SUSTAINED with leave to amend as to Miller.

h.

Defamation

Per Se

Defendants

argue that the complaint does not state a claim for defamation against Miller because it does not allege that he published any false statements about Plaintiffs. (Demurrer, p. 6.) In opposition, Plaintiffs argue that the board resolution Miller signed constituted a publication sufficient to state a claim for defamation per se. (Opposition, p. 10.) In reply, Defendants argue that Plaintiffs do not claim that Miller authorized a specific publication. (Reply, p. 5.)

A

complaint states a claim for defamation per se where it alleges facts showing (1) defendant intentionally published (2) a statement of fact (3) that is false, (4) defamatory, (5) unprivileged; and (6) that causes special damages. ((E.g., *Taus v. Loftus* (2007) 40 Cal.4th 683, 720; *Smith v. Maldonado* (1999) 72 Cal.App.4th 637, 645 ["Reprinting or recirculating a libelous writing has the same effect as an original publication."]. See also *Okun v. Superior Court* (1981) 29 Cal.3d 442, 458 [exact words of the defamatory statement need not be alleged, but only the substance]; *Palm Springs Tennis Club v. Rangel* (1999) 73 Cal.App.4th 1, 7 [pleading libel or defamation per quod requires alleging that people had special knowledge of facts from which they could discern that statements were defamatory]; *Barnes-Hind, Inc. v. Superior Court* (1986) 181 Cal.App.3d 377, 384 [special damages alleged as "decline of business, loss of goodwill, and injury to business reputation" may be sufficient to withstand a demurrer].)

The

complaint describes specific, allegedly false, statements Miller made in emails he signed and sent to the Arizona Renaissance Festival and festivals in Georgia and Scarborough. (Complaint, ¶ 100, ["Shannon Bankosh, . . . , has colluded with Sharon's attorney in an attempt to take control of the business from Sharon;].) Plaintiffs allege that Miller knew these statements were false, and made these representations with the intent to steal the company. (Complaint, ¶ 109.) Plaintiffs allege special damages: appropriating company revenue, loss of business space at certain venues, etc. (Complaint, ¶ 75.)

The

complaint states a claim for defamation per se.

Defendants'

demurrer to Plaintiffs' claim for defamation per se is OVERRULED.

i.

Trespass

to Chattel

Defendants

argue that the complaint does not claim that Miller harmed the company's property in some way that decreased the value of the chattel or deprived the company of the chattel's use for a substantial time. (Demurrer, p. 6.) Plaintiffs argue that the complaint does claim that Miller harmed the company by interfering with its use of its property. (Opposition, p. 9.)

A

complaint states a claim for trespass to chattel where it alleges facts showing (1) intentional interference, (2) with the possession of personal property; (3) injury. (Jamgotchian v. Slender (2009) 170 Cal.App.4th 1384, 1400-1401; Intel Corp. v. Hamidi (2003) 30 Cal.4th 1342, 1350-1351.)

Plaintiffs

allege that Defendants, including Miller, intentionally prevented them from accessing their inventory and business spaces beginning in February 2026, and have not allowed them to access that inventory. (Complaint, ¶ 43, 111.) Plaintiffs allege that they were harmed as a result of the trespass. The complaint states a claim for trespass to chattel.

Defendants'

demurrer to Plaintiffs' claim for trespass to chattel is OVERRULED.

j.

Claim

and Delivery

Defendants

argue that claim and delivery is only a remedy, so Plaintiffs' claim for claim and delivery must be dismissed. (Demurrer, pp. 6-7.) In opposition, Plaintiffs argue that the complaint pleads the substance of a claim to recover personal

property. (Opposition, p. 12.) In reply, Defendants argue that Plaintiffs concede that this claim is only a remedy and not a separate cause of action. (Reply, p. 2.)

“A secured party may bring an action in replevin or proceed under the statutory success to replevin, an action of claim and delivery. [citation] ‘Claim and delivery is a remedy by which a party with a superior right to a specific item of personal property (created, most commonly, by a contractual lien) may recover possession of that specific property before judgment.’” (Simms v. NPCK Enterprises, Inc. (2003) 109 Cal.App.4th 233, 241, citing Waffer Interntational Corp. v. Khorsandi (1999) 69 Cal.App.4th 1261, 1271.) The Court goes on to describe the specific procedure available under California’s claim and delivery law, which authorizes a pre-judgment writ of possession in certain situations. (Id. at 242.)

A complaint states a claim for claim and delivery/replevin where it alleges facts showing (1) wrongful exercise of dominion by defendant; (2) over the property as to which plaintiff is the owner or entitled to possession; (3) demand for return of property; (4) description of property; and (5) request for recovery of property or damages. (Law v. Heiniger (1955) 132 Cal.App.2d Supp. 898, 899 [“‘action to recover possession of personal property will not lie unless at the time the action is commenced defendant has the possession of the property or the power to deliver it in satisfaction of a judgment for its possession’”....]; Hillyer v. Eggers (1917) 32 Cal.App. 764, 766 [money is not the subject of an action for claim and delivery unless it is marked or designated to make it capable of identification].)

The complaint alleges that Defendants are wrongfully retaining the company’s property at the McCune property in Los Angeles and at Sharon’s property in Texas and requests the property’s return via writ of possession. (Complaint, ¶¶116-117, prayer for relief).

The complaint states a claim for claim and delivery.

Defendants’

demurrer to Plaintiffs' claim for claim and delivery is OVERRULED.

k.

Fraudulent

Concealment

Defendants

argue that Plaintiffs' fraud claim fails because the complaint does not sufficiently allege a duty that Sharon or the Trust had toward plaintiff Shannon Bankosh and therefore cannot claim that Sharon fraudulently failed to disclose that the company was party to a commercial guaranty for the McCune Property. (Demurrer, p. 7.) In opposition, Plaintiffs argue that the complaint alleges a duty under *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, because it alleges that Sharon had exclusive knowledge that the company was bound by a commercial guaranty on a thirty-year mortgage and concealed the fact from Bankosh. (Opposition, p. 8.) In reply, Defendants argue that Plaintiffs do not identify facts creating a disclosure duty connected to a particular relationship, transaction, or partial representation. (Reply, p. 3.)

"The

well-known elements of a cause of action for fraud or concealment are: (1) a misrepresentation, which includes a concealment or nondisclosure; (2) knowledge of the falsity of the misrepresentation, i.e., scienter; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance; and (5) resulting damages." (*Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519-520.)

Plaintiffs

alleging fraud must describe, with particularity, the specific statements defendants made that constituted fraud, or facts defendants omitted that constitute alleged fraud. Pleadings must allege facts as to "how, when, where, to whom, and by what means the representations were tendered." (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73. Accord *Wald v. Truspeed Motorcars, LLC* (2010) 184 Cal.App.4th 378, 393; *Morgan v. AT & T Wireless Services, Inc.* (2009) 177 Cal.App.4th 1235, 1262. Cf. also *Goldrich v. Natural Y Surgical Specialties, Inc.* (1994) 25 Cal.App.4th 772, 783 ["conclusory allegations offer no facts at all and it is impossible to determine what was said or by whom or in what manner."].)

LiMandri holds that a failure to disclose

material facts is not actionable fraud unless there is some relationship between the parties that gives rise to a duty to disclose those facts, namely a relationship arising from a transaction. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336-337.) It affirms that even the duty arising from a failure to disclose confidential information that Plaintiffs invoke arises from a contractual agreement:

Clearly,
there was no fiduciary relationship between Judkins as counsel for Security and LiMandri as counsel for the Deddehs.³ Each of the other three circumstances in which nondisclosure may be actionable presupposes the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. As set forth in BAJI No. 12.36 (8th ed.1994), “where material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.” (Italics added.)

As
a matter of common sense, such a relationship can only come into being as a result of some sort of transaction between the parties. [citation] Thus, a duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. (Civ.Code, § 1572, subd. 3.)

(Id. at 336-337.)

Plaintiffs’
claim for fraudulent concealment must be brought by Bankosh as an individual, not Sharon Crystal, Inc. because Sharon Crystal, Inc. is a party to the guaranty and is therefore aware of it.

As applied
to Plaintiffs’ claim against Sharon, the complaint alleges that Sharon’s duty arose out of the transfer of stock in the company to Shannon Bankosh. (Complaint, ¶ 120.) However, this transfer was not a contract, it was a gift. (Complaint, ¶19 [“The transfer of the Company to Bankosh constituted a deliberate donative act by her parents during their lifetimes.”].) Plaintiffs cite no case law showing that a donative act gives rise to a duty.

As applied

to the claim against Holly as Trustee of the Crystal Family Trust, the complaint alleges no contract between Bankosh and the Trust. The complaint alleges that in 2015, prior to the transfer of the company, Sharon and Terry Crystal transferred ownership of the McCune Property to the Crystal Family Trust. The complaint does not allege that the Crystal Family Trust held any interest in the company, so there is no contract or transaction of any kind that could create an actionable duty between Holly, as trustee of the Crystal Family Trust, and Sharon for an alleged failure to disclose the guaranty agreement.

Defendants'

demurrer to Plaintiffs' claim for fraudulent concealment is SUSTAINED without leave to amend.

I.

Negligent

Misrepresentation

Negligent

misrepresentation occurs when a defendant (1) makes an untrue statement; (2) that defendant believes to be true, (3) without reasonable ground for the belief, (4) with intent to induce Plaintiff's reliance on the representation; (5) plaintiff did rely, and (6) plaintiff was damaged. (*Melican v. Regents of Univ. of Cal.* (2007) 151 Cal.App.4th 168, 182.) It is not settled if claims for negligent misrepresentation require the same level of specificity at the pleading stage as fraud claims, *Shulman's* misrepresentation allegations are almost entirely conclusory. (See dissent, *B.L.M. v. Sabo & Deitsch* (1997) 55 Cal.App.4th 823, 845.)

The

negligent misrepresentation claim fails for the same reason the fraudulent concealment claim fails.

Defendants'

demurrer to Plaintiffs' claim for negligent misrepresentation is SUSTAINED without leave to amend.

m.

Breach

of Lease

Defendants

argue that Plaintiffs fail to allege the terms of the lease or attach the lease to the complaint. (Demurrer, p. 8.) In opposition, Plaintiffs argue that the complaint alleges the essential terms of the lease agreement. (Opposition, p. 4.) In reply, Defendants argue that the complaint does not adequately plead the terms of the lease. (Reply, p. 4.)

A

complaint properly pleads breach of contract when it states facts demonstrating (1) the existence of a contract; (2) plaintiffs' performance or excuse for nonperformance; (3) defendants' breach (or anticipatory breach); and (4) resulting damage. (Wall Street Network, Ltd. v. N. Y. Times Co. (2008) 164 Cal.App.4th 1171, 1178.) A written contract may be pleaded by its terms, or by pleading the legal effect of the terms. (Maxwell v. Dolezal (2014) 231 Cal.App.4th 93, 98.)

The

complaint alleges the existence of a written lease agreement and includes the address of the property, the parties, and the term of the lease. Plaintiffs alleged breach is that they locked the leasee out of the property. If the alleged breach were a type of breach that required consideration of the terms of the lease, the facts plead would be insufficient because it would not put Defendants on notice of the provisions of the lease that they breached. However, by their very nature, a lease gives the Plaintiff the right to occupy the premises. The allegations are therefore sufficient.

Defendants'

demurer to Plaintiffs' claim for breach of lease is OVERRULED.

n.

Breach

of the Covenant of Good Faith and Fair Dealing

The

parties make the same arguments on their claims for breach of the covenant of good faith and fair dealing as they make on the breach of lease claims.

Breach of

the implied covenant of good faith and fair dealing occurs where there is a

contractual relationship, an implied duty, breach of that duty, and causation of damages. ((E.g., *Smith v. San Francisco* (1990) 225 Cal.App.3d 38, 49. See also *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395 [“allegations which assert such a claim must show that the conduct of the defendant...demonstrates a failure or refusal to discharge contractual responsibilities, prompted ... by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement. Just what conduct will meet this criteria must be determined on a case by case basis....”].))

The
complaint alleges a bad act. (See Complaint, ¶ 145.)

Defendants’
demurrer to plaintiffs’ claim for breach of the covenant of good faith and fair dealing is OVERRULED.

o.
Civil
Conspiracy

Defendants
contend that civil conspiracy is not an independent cause of action.

A
complaint pleads civil conspiracy where it alleges facts showing (1) defendants’ agreement to the objective and course of action to injure; (2) wrongful act pursuant to such agreement; (3) and resulting damage. (*Berg & Berg Ent., LLC v. Sherwood Partners, Inc.* (2005) 131 Cal.App.4th 802, 823 [noting the elements, and contrasting with aiding and abetting]; *State of Cal. ex rel. Metz v. CCC Information Services, Inc.* (2007) 149 Cal.App.4th 402, 419 [conclusory allegations are insufficient to allege the elements of conspiracy]. See also *Quelimane Co., Inc. v. Stewart Title Guar. Co.* (1998) 19 Cal.4th 26, 47 [general allegations are permitted as to the pleading of conspiracy]; *Klistoff v. Superior Court* (2007) 157 Cal.App.4th 469, 479 [“The existence of a civil conspiracy makes each participant in the wrongful act responsible as a

joint tortfeasor for all damages resulting from the wrong, whether or not a participant was a direct actor and regardless of the degree of his activity” and a coconspirator cannot be liable unless he or she owes a duty to the plaintiff as recognized by law].)

Civil

conspiracy is a theory of liability that plaintiffs may bring in the alternative. The complaint states a claim for civil conspiracy.

Defendants’

demurrer to Plaintiffs’ claim for civil conspiracy is OVERRULED.

p.

Unjust

Enrichment

Unjust

enrichment occurs when a defendant (1) receives a benefit, (2) retains the benefit wrongfully or unjustly, (3) at the expense of another. (Peterson v. Cellco Partnership (2008) 164 Cal.App.4th 1583, 1593.) Unjust enrichment is a theory of recovery applicable to quasi-contract claims.

Plaintiffs

have no quasi contract claims, so the demurrer to their claim for unjust enrichment is SUSTAINED without leave to amend.

q.

Accounting

A

complaint states a claim for an accounting if it alleges facts showing (1) the existence of a relationship requiring an accounting, (2) some unliquidated and unascertained balance is owed. (St. James Church of Christ Holiness v. Superior Court (1955) 135 Cal.App.2d 352, 359.)

The

complaint does not allege an unascertained balance owed to Plaintiffs by Defendants, and therefore does not properly seek an accounting. The information Plaintiffs seek, Sharon Crystal’s current financials, is likely discoverable in

this action and would go to Plaintiffs' damages. Additionally, as the sole shareholder, Bankosh has the right to demand inspection of the company's books.

Defendants'

demurrer to Plaintiffs' claim for accounting is SUSTAINED without leave to amend.

r.

Constructive

Trust

"[A]

constructive trust may only be imposed where the following three conditions are satisfied: (1) the existence of a res (property or some interest in property); (2) the right of a complaining party to that res; and (3) some wrongful acquisition or detention of the res by another party who is not entitled to it." (Burlesci v. Petersen (1998), 68 Cal. App. 4th 1062, 1069.) A

Constructive trust is an equitable remedy available to a plaintiff seeking recovery of property in any number of situations. (Olson v. Toy (1996) 46 Cal.App.4th 818, 823.) To state a claim for constructive trust, a plaintiff must state a claim for an underlying cause of action against the person possessing the property (the constructive trustee) that entitles plaintiff to the property at issue. (Michaelian v. State Comp. Ins. Fund (1996) 50 Cal.App.4th 1093, 1114; see also Burlesci v. Petersen (1998) 68 Cal.App.4th 1062, 1069 [holding that a plaintiff may seek a constructive trust against the involuntary trustee of property, the person or entity who gained possession of property by fraud or wrongful act].)

The

complaint states a claim for constructive trust because it states a claim for conversion, breach of lease, etc.

Defendants'

demurrer to Plaintiffs' claim for Constructive Trust is OVERRULED.

s.

Declaratory

Relief and Injunctive Relief

All three

of these claims are remedies attached to other causes of action. (Marlin v. Aimco Venezia, LLC (2d Dist. 2007) 154 Cal.App.4th 154, 162 ["An injunction is a remedy, not a cause of action."]; County of Los Angeles v. Construction Laborers Trust Funds for Southern California Admin. Co. (2006) 137 Cal.App.4th 410, 414, 416 [An equitable lien on plaintiff's property not in their possession is available on a showing that the plaintiff has a right to the property not in their possession based on a contract showing intent to charge property with a debt, estoppel, unjust enrichment, or other equitable considerations. "An equitable lien is a restitutionary remedy given by a court of equity."]; Southern Counties Gas Co. v. Ventura Pipeline Const. Co. (1971) Cal.App.3d 372 [declaratory relief is available as a remedy if the complaint states a claim for prospective harm].)

Defendants'
demurrer to Plaintiffs claims for declaratory and injunctive relief are
OVERRULED.

Conclusion

Conversion

Overruled

Misappropriation & Theft

Sustained with leave to amend

Intentional Interference with
Contractual Relations

overruled

Intentional Interference with
Prospective Economic Relations

Overruled

Breach of Fiduciary Duty

Overruled

Aiding and Abetting Breach of
Fiduciary Duty

Overruled as to Darla Smith,
sustained with leave to amend as to Chad Miller

Breach of Duty of Loyalty

overruled

Defamation Per Se

overruled

Trespass to Chattel

Overruled

Claim and Delivery

Overruled

Fraudulent concealment

Sustained without leave to amend

Negligent Misrepresentation

Sustained without leave to amend

Breach of Lease

Overruled

Breach of the Covenant of Good
Faith and Fair Dealing

Overruled

Civil Conspiracy

Overruled

Unjust Enrichment

Sustained without leave to amend

Accounting

Sustained without leave to amend

Constructive Trust

Overruled

Declaratory Relief

Overruled

Injunctive Relief

Overruled

Defendants'

Motion to Strike

Defendants

move to strike allegations that Miller assaulted Shannon Bankosh's daughter, Madison Bankosh because there are no claims for assault, Madison Bankosh is not a party to this case. Defendants also move to strike attorneys' fees that Plaintiffs seek on their conversion claim on the grounds that they are not authorized by law.

In

opposition, Plaintiffs argue that the allegations describe conduct that constitutes the torts pled and contribute to the damages Shannon Bankosh suffered. (Opposition, p. 2.) Plaintiffs also argue that the request for attorneys' fees is attached to their claim under Penal Code § 496, which

authorizes attorneys' fees.

In reply,

Defendants argue that the claim should be stricken because, as alleged, it is essential to Plaintiff's commercial claims. (Reply, p. 3.) Defendants clarify that they are only moving to strike fees to the extent that plaintiffs claim fees on their conversion claim. (ID. at p. 4.)

Legal

Standard

"Any

party, within the time allowed to response to a pleading, may serve and file a notice of motion to strike the whole or any part" of that pleading. (CCP 435(b).) "The Court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false or improper matter asserted in any pleading; (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the Court." (CCP 436.)

Discussion

Defendants'

argument that Madison Bankosh did not prevail in a TRO hearing, so allegations of assault should be stricken is not persuasive. Though the assault is not a crucial component of Plaintiffs' conversion claim, the allegation is relevant to Bankosh's emotional distress damages. The assault is also not central to any of Plaintiffs' claims, nor is it a central element of any of the claims she brings against defendant.

Ultimately,

Plaintiffs are allowed to allege contextual facts, even if they are somewhat insulting. (PH II, Inc. v. Superior Court (1995), 33 Cal.App.4th 1680, 1683 ["such use of the motion to strike should be cautious and sparing. We have no intention of creating a procedural 'line item veto' for the civil defendant."].)

Conclusion

Defendants'

Motion to Strike is DENIED.

Demurrer

to Defendants' Cross-Complaint with Motion to Strike

Plaintiffs

demur to all five of Defendants' claims in their cross-complaint. Plaintiffs argue that the Defendants lack standing to assert claims on behalf of Terry Crystal and Sharon Crystal, Inc., so the claims that claim injuries on behalf of those non-defendants should be dismissed. (Demurrer, p. 7.) Plaintiffs also argue that the cross-complaint fails because its claims are time-barred because the complaint establishes that Sharon Crystal had inquiry notice that the 2022 transfer of Sharon Crystal, Inc. shares was to Shannon Bankosh as an individual, not as a trustee. (Id. at pp. 8-12.) Plaintiffs argue that amendment would be futile because the exhibits to the complaint conclusively establish inquiry notice. (Id. at p. 12.) Plaintiffs also argue that each of Defendants' causes of action fail to state a claim because they do not identify property interests, and are insufficiently specific.

In

opposition, Defendants argue that the cross-complaint is not time-barred because it alleges that Shannon Bankosh forged the signature on the stock assignment agreement in August, 2022, less than four years before the cross-complaint was filed. (Opposition, p. 5.) Defendants also argue that the cross-complaint does not allege derivative claims because they relate to Sharon's property, not the company's property. (Id. at p. 6.) Defendants argue that the only claim that could be a derivative claim is the third claim for breach of fiduciary duty, but argues that the cross-complaint brings that claim directly as a shareholder of Sharon Crystal, Inc. (Ibid.) Defendants argue that the cross-complaint states a claim for each of its five pleaded causes of action, that they do not seek relief on behalf of Terry Crystal, and that the demurrer for uncertainty should be overruled. (Id. at pp. 7-9.)

In reply,

Plaintiffs argue that Defendant misstates the accrual standard by conflating the wrongful act with the resulting harm. Plaintiffs argue that Defendants had inquiry notice of wrongdoing in January 2022. Plaintiffs argue that Defendants' standing argument that they were divested of ownership concedes that they had inquiry notice on January 24, 2022. (Reply, p. 4.) Plaintiffs argue that later conduct that Defendants claim forms the basis of their claims flows from the same allegedly

fraudulent transfer, and do not constitute separate, actionable wrongs. (Id. at p. 6.)

Governing Law

In a demurrer proceeding, the defects in the complaint must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

Before filing a demurrer, parties must meet and confer in person or by phone. (Code Civ. Proc. § 430.41.)

Discussion

a.

Meet
and Confer

The

parties met and conferred on this motion on June 19, 2026. (Rognlien Decl., ¶ 4.) The meet and confer requirement is satisfied.

b.

Statute of Limitations

The statute of limitations on an elder abuse claim is four years. (Welf. & Inst. Code, § 15657.7.) The statute of limitations for fraud is three years. (Code Civ. Proc. § 338(d).) The statute of limitations for a corporate director's breach of fiduciary duty is four years. (Code Civ. Proc. § 343.) The statute of limitations for a cancellation of instrument claim based on fraud is three years. (Robertson v. Superior Court (2001) 90 Cal.App.4th 1319, 1326.) The statute of limitations for conversion is three years. (Code Civ. Proc., § 338(c)(1); Hillhouse v. Wolf (1958) 166 Cal.App.2d Supp. 833, 835.)

Defendants

allege that Shannon Bankosh gave Sharon and Terry Crystal a certificate of transfer of ownership of the company to sign on January 24, 2022, representing that it would transfer ownership to her as trustee, not as an individual, and fraudulently obtained their signature on that certificate. (Cross-Complaint, ¶ 37.) The Cross-Complaint then alleges that Bankosh presented her parents with a Declaration and Save Harmless Agreement Re: Lost Certificate on February 1, 2022 for signature because they could not find Stock Certificate 2, which proved the Crystal Family Trust's ownership of Sharon Crystal, Inc. (Id. at ¶ 33.) The Cross-Complaint then alleges that Bankosh forged Sharon's signature on an August 24, 2022 stock transfer. (Id. at ¶ 39.) Exhibit 1, the transfer certificate, is dated January 24, 2022, and states that it transfers 5,341.59 shares of Sharon Crystal, Inc. to "Shannon C. Bankosh." (Cross-Complaint, Exhibit 1.) Exhibit 3 is Sharon and Terry's declaration re: lost certificate dated February 1, 2022. (Cross-Complaint, Exhibit 3) Exhibit 4 is a stock assignment to Shannon C. Bankosh dated August 27, 2022.

The Cross-Complaint was filed on April 24, 2026.

Here, the key question is when the statute of limitations began to run. Defendants argue that the statute of limitations did not begin to run until August 27, 2022, the date Bankosh is alleged to have forged signatures on the stock assignment. (Opposition, p. 4.) Plaintiffs argue that the statute began to run on January 24, 2022, the date Bankosh allegedly

misrepresented to Sharon and Terry Crystal that the transfer certificate they were signing transferred ownership of the company to Bankosh as a trustee rather than in her individual capacity – even though the plain language of the certificate said the opposite.

The Court

agrees with Bankosh. In an action for fraud, the wrongdoing is the misrepresentation or concealment of a material fact. (Jolly v. Eli Lilly & Co. (1988) 44 Cal.3d 1103, 1111 (discussing Miller v. Bechtel Corp. (1983) 33 Cal.3d 868.)) In Jolly v. Eli Lilly & Co., a DES case, the Supreme Court of California found that “the limitations period begins once the plaintiff ‘has notice or information of circumstances to put a reasonable person on inquiry . . . So long as a suspicion exists, it is clear that the plaintiff must go find the facts; she cannot wait for the facts to find her.” (Jolly v. Eli Lilly & Co., supra, 44 Cal.3d, 1110-1111.)

The Court found that the statute of limitations on the plaintiff’s claim ran one year after Plaintiff expressed interest in obtaining more information about DES because she felt someone had done something wrong to her concerning DES. (Id. at p. 1112.)

Here,

Sharon and Terry signed the stock transfer certificate on January 24, 2022, putting them on inquiry notice that the transfer would be to Bankosh as an individual. The allegedly forged signature in August of 2022 is not an entirely new wrongdoing but rather an additional step in the same allegedly fraudulent scheme to steal the company from Sharon and Terry. As such, the Court concludes that Defendants were on inquiry notice of the fraud when they reviewed and signed the January 24, 2022 stock transfer transferring the company to Shannon Bankosh as an individual and when they had subsequent communications with an attorney, Mr. Diamond, regarding the transfers. The stock certificate clearly identifies the recipient as Bankosh as an individual and Defendants have never contended that Sharon and Terry’s signature on the January 24, 2022 transfer certificate is forged.

The

Cross-Complaint’s claim for fraud, cancellation of instruments and conversion are all based entirely on the allegedly fraudulent transfer. (Cross-Complaint, ¶¶ 100, 121-122.) In addition, the Cross-complaint’s financial elder abuse claim is based on the allegation that Shannon Bankosh “intentionally deceived and manipulated Sharon into signing Stock in the Corporation to Cross-Defendant

for Bankosh's personal benefit, forged Sharon's signature on the Stock Assignment, and took money from the Corporation." (Cross-Complaint, ¶ 91.) The allegation that Shannon took money from the corporation cannot form the basis of Sharon's claim for elder abuse because the corporation is not an elder and because Sharon had not owned any part of the corporation in her personal capacity since 2004. Therefore, the claim is also based on the allegedly fraudulent stock transfer.

Accordingly,

Defendants' first, second, fourth, and fifth cross-claims are barred by the statute of limitations.

"In order

to rely on the discovery rule for delayed accrual of a cause of action 'a plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.' [citation] In assessing the sufficiency of the allegations of delayed discovery the court places the burden on the plaintiff to 'show diligence'; 'conclusory allegations will not withstand demurrer.'" (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 808, citing McKelvey v. Boeing North American, Inc. (1999) 74 Cal.App.4th 151, 160.)

Paragraph

37 of the cross-complaint alleges that: "On information and belief, Bankosh presented that Declaration to Sharon and Terry for their signature as a further action to conceal from Sharon, Terry, and James Diamond that Bankosh had already acquired her parent's signature on a Stock Certificate number three that purported to transfer ownership of the Corporation to Bankosh as an individual rather than trustee." (Cross-Complaint, ¶ 37.)

This

allegation is insufficient to plead the requirements of the discovery rule. The complaint does not allege a specific time that Defendants discovered Shannon Bankosh's alleged fraud, only that Sharon became aware of fraudulent bank transfers sometime in 2025. The Complaint also does not allege any other facts showing that Defendants could not have discovered Shannon's fraud earlier. In fact, the exhibits to the complaints, specifically Sharon and Terry's signatures on the January 24, 2022 stock transfer, show that Sharon and Terry

reviewed the proposed transfer and signed it.

The

Cross-complaint's financial elder abuse claim is based on the allegation that Shannon Bankosh "intentionally deceived and manipulated Sharon into signing Stock in the Corporation to Cross-Defendant for Bankosh's personal benefit, forged Sharon's signature on the Stock Assignment, and took money from the Corporation." (Cross-Complaint, ¶ 91.) The allegation that Shannon took money from the corporation cannot form the basis of Sharon's claim for elder abuse because the corporation is not an elder and because Sharon had not owned any part of the corporation in her personal capacity since 2004. Therefore, the claim is based on the allegedly fraudulent stock transfer.

i.

Leave
to amend

The legal

standard for inquiry notice of fraud is if the "facts [are] sufficient to make a reasonably prudent person suspicious of fraud, thus putting him on inquiry." (Hobart v. Hobart Estate Co. (1945) 26 Cal.2d 415, 437.) Exhibit 1 to the Cross-Complaint, stating explicitly that the stocks are being transferred to Shannon Bankosh alone, not as a trustee of any trust, would raise suspicion in a reasonably prudent person who believed the stocks were being transferred to a trust. The Court does not believe that Defendants will be able to amend the cross-complaint to state a claim under the discovery rule.

c.

Defendants'
claim for breach of fiduciary duty

Defendants

argue that Sharon has standing to sue for breach of fiduciary duty because Sharon rightfully has an interest in Sharon Crystal, Inc.

A breach

of fiduciary duty occurs when there is (1) a fiduciary duty, (2) breach of the duty, and (3) damage caused by the breach. (Charnay v. Cobert, (2006) 145 Cal.App.4th 170, 182; Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086.) A real party in interest with the right to sue is

the person who owns or holds title to the claim or property involved, as opposed to others who may be interested or benefitted by the litigation. (Gantman v. United Pac. Ins. Co. (1991) 232 Cal.App.3d 1560, 1566.) Where a corporation is the real party in interest, a corporate shareholder may also have standing to bring a claim on their own behalf to enforce shareholder voting rights, to enjoin an ultra vires act, or for damages arising out of insider trading, but cannot sue for corporate mismanagement. (Schuster v. Gardner (2005) 127 Cal.App.4th 305, 312.) "An action is derivative if 'the gravamen of the complaint is injury to the corporation, or to the whole body of its stock or property without any severance of distribution among individual holders, or if it seeks to recover assets for the corporation or prevent the dissipation of its assets.'" (Id. at p. 313.)

Here,

Defendants primarily allege corporate misconduct and damage to the Company. Defendants allege that Shannon Bankosh replaced the Company's credit card terminals with her Eden Naturals terminals, facilitated large transfers to Eden Naturals, and made false claims on the Company's taxes. (Cross-Complaint, ¶¶ 51, 54, 59.) These are not allegations regarding shareholder voting rights, ultra vires acts, or insider trading—they are allegations of corporate mismanagement. The Cross-Complaint alleges that as a result of Shannon Bankosh's actions, the Company lost revenue and fell behind on its tax obligations. (Id. at ¶ 55, 60-61.) These injuries are to the company, not to Sharon. Even if the cross-complaint alleged a violation that was directly actionable by a shareholder, Defendants do not allege that Sharon is a shareholder. Defendants do not have standing to claim breach of fiduciary duty based on Shannon Bankosh's breach of fiduciary duty because Defendants are not the injured corporation, nor are they shareholders in that corporation.

i.

Leave

to amend

Since

Defendants lack standing to bring a claim on behalf of the corporation, leave to amend would be futile.

Conclusion

Plaintiffs'

demurrer is SUSTAINED without leave to amend. Since the demurrer is sustained without leave to amend, the motion to strike is moot.

Defendants'
cross-complaint is dismissed.